

pivoting and adopting digital solutions to keep their businesses afloat, according to a CRISIL report. Despite this adaptability, the private investment ecosystem in particular remains sceptical of investing in the space.

What explains this? “Traditional businesses cannot scale up [fast]... And, venture capitalists (VCs) invest in companies that scale up very fast... they want technology and they go after tech areas with a chance of success,” says T.V. Mohandas Pai, former Infosys CFO and Chairman of Aarin Capital, a venture capital firm that has invested in tech-driven businesses such as Pepperfry, according to data intelligence firm Tracxn.

As Pai mentions, MSMEs need a boost in technology and innovation to be attractive to private investors. But this itself requires funding and a shift in the mindset of MSME players to a more dynamic way of doing business. Shashank Randev, Founder VC and Co-founder of early-stage investment firm 100x.vc, highlights a common sentiment among MSME owners: despite building legacy businesses and turning profits, they struggle to attract private investment due to a perceived lack of innovation.

“MSMEs often lack innovation. For instance, consider a cardboard manufacturer who has been profitable for decades but continues to operate without introducing new ideas. This lack of innovation makes it challenging for VCs to envision a lucrative exit,” explains Randev, who also serves on the investment committee at the Maharashtra State Innovation Society, a nodal government agency that aims to boost the innovation-driven entrepreneurial ecosystem in the state.

According to experts, VCs need a good internal rate of return (IRR) and a good exit, which is why they are more inclined to invest at the seed stage, right at the inception of a business.

Arjun Vaidya, Co-founder of VC firm V3 Ventures that invests in

consumer-focussed businesses, highlights a crucial challenge with MSMEs: while they are profitable and steadily growing, their growth rate isn't rapid enough to deliver the massive capital gains that VCs seek. “There are solid businesses achieving 15-20% profit after tax (PAT), but they don't grow significantly enough for VC investments to multiply,” he explains. For MSMEs to attract private investors, they need to demonstrate potential for exponential growth, he says.

Vaidya should know. He founded D2C ayurvedic brand Dr. Vaidya's in 2016 as an extension to the Ayurveda business founded by his grandfather. In around four years, he grew the company to 2 million customers across more than 16,000 pin codes, and in 2021, sold the business to RPSG Ventures, the VC arm of the ₹26,634-crore RP-Sanjiv Goenka Group.

Vaidya successfully transformed his small business to meet the demands of the modern market. Other examples include companies like Hocco Ice Cream, Veeba (VRB Consumer Products Pvt. Ltd), GRM Foodkraft, Suburban Diagnostics, and others that evolved beyond traditional models and attracted significant investment. But before they secured funding, these businesses had already scaled up to an annual turnover of ₹100-200 crore or more. This, by the government's definition for MSMEs, classifies them as medium enterprises—businesses that have an annual turnover of ₹25-250 crore. This means that micro (annual turnover of less than ₹5 crore) and small (annual turnover of ₹5-25 crore) enterprises are likely to face challenges in attracting investments.

THE WAY AHEAD

According to Krishnakumar Natarajan, Managing Partner at VC fund Mela Ventures and Co-founder of IT services firm Mindtree (that was acquired by L&T in

THE GREY SPACE OF MSMEs



Investors believe MSMEs fall short on innovation and technological advancement, making them less appealing



The limited disruptive impact of MSMEs and their conservative approach to innovation make them less attractive to investors



Slow growth rates hinder opportunities for high capital gains



It is challenging to secure a lucrative exit strategy



There's a reluctance among MSMEs to dilute stake